Brazil Macro Monthly

Stronger growth, lower inflation

- Global environment remain beneficial for EM asset prices, including the BRL, which is up some 4% YTD. We remain cautious, however, given heightened geopolitical risks. The appointment of Kevin Warsh as Fed Chair is good news and should help prevent further USD depreciation.
- In Brazil, the 2026 legislative year begins with Congress focused on the electoral calendar.
- We raised our 2026 GDP growth forecast from 1.7% to 2.0%. Domestic demand should gain steam amid rising disposable income and credit measures. Our projection for 2027 GDP growth remains at 1.2%, reflecting lower fiscal impulse and still-tight monetary conditions.
- Tax revenue dynamics and increased exceptions to the fiscal rule should help the government meet the primary balance target in 2026 and 2027. However, we do not see meaningful structural improvement in public accounts, keeping fiscal policy risks latent.
- Stronger economic activity should keep the current account deficit elevated this year (3.0% of GDP). In 2027, we expect the deficit to narrow to 2.4% of GDP, as weaker demand responds to the restrictive stance of fiscal and monetary policies.
- Global factors are supporting a more appreciated FX in the first half of the year. That said, political and fiscal uncertainty are likely to weigh on the currency toward year-end. We, therefore, maintained our forecasts at 5.60 reais per dollar for YE2026 and 5.80 for YE2027.
- Given the stronger BRL in the short run, we reduced our 2026 IPCA inflation forecast from 4.0% to 3.8%. For 2027, we kept our expectation of 4.0%.
- The Copom's recent communication reinforces our long-held forecast of a gradual easing cycle starting in March. We foresee five consecutive 50-bp cuts, taking the Selic rate to 12.50%, followed by a pause for assessment. Under the assumption of an incomplete fiscal adjustment after the elections, we see some limited room for additional easing next year, to 11.00%

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XP Forecasts

	2020	2021	2022	2023	2024	2025 (F)	2026 (F)	2027 (F)
Economic Activity								
Nominal GDP (USD Bn)	1,475	1,670	1,951	2,190	2,178	2,278	2,506	2,512
Nominal GDP (BRL Bn)	7,610	9,012	10,080	10,943	11,779	12,710	13,535	14,314
GDP growth (%)	-3.3	4.8	3.0	3.2	3.4	2.3	2.0	1.2
Unemployment rate (% s.a., end of period)	14.7	11.7	8.3	7.6	6.5	5.3	5.6	6.2
Inflation								
IPCA (CPI, %)	4.5	10.1	5.8	4.6	4.8	4.3	3.8	4.0
Monetary Policy								
SELIC rate (% p.a., end of period)	2.00	9.25	13.75	11.75	12.25	15.00	12.50	11.00
Public Finances								
Central government primary balance (% GDP)	-9.8	-0.4	0.5	-2.4	-0.4	-0.5	-0.4	-0.5
Primary balance for target calculation (% GDP)*	–	–	–	–	-0.1	-0.1	0.0	0.3
Public sector primary balance (% GDP)	-9.2	0.7	1.2	-2.3	-0.4	-0.4	-0.4	-0.4
Public sector overall balance (% GDP)	-13.6	-4.3	-4.6	-8.8	-8.5	-8.3	-8.6	-8.1
General government gross debt (% GDP)	86.9	77.3	71.7	73.8	76.5	78.7	83.5	87.9
Net public sector debt (% GDP)	61.4	55.1	56.1	60.4	61.5	65.3	69.8	74.0
External Accounts and FX								
FX (USDBRL, end of period)	5.20	5.58	5.28	4.86	6.17	5.49	5.60	5.80
Trade Balance (USD Bn)	35.7	42.3	51.5	92.3	65.8	60.0	56.4	63.3
Exports (USD Bn)	210.7	284.0	340.2	343.8	339.9	350.9	354.1	364.3
Imports (USD Bn)	175.0	241.7	288.7	251.5	274.0	290.9	297.7	301.0
Current Account (USD Bn)	-24.9	-40.4	-42.2	-27.9	-61.2	-68.8	-76.0	-60.2
Current Account (% GDP)	-1.7	-2.4	-2.2	-1.3	-2.8	-3.0	-3.0	-2.4
FDI (USD Bn)	38.3	46.4	74.6	62.4	71.1	77.7	75.0	79.0
FDI (% GDP)	2.6	2.8	3.8	2.9	3.2	3.4	3.0	3.1

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

Foreword – Positive short-term, cloudy medium-term

The short-term scenario for Brazil remains favorable. Globally, US president Donald Trump continues to generate geopolitical noise, prompting investors to increase exposure to EM assets. The BRL has appreciated some 4% YTD on the back of this movement.

Domestically, economic activity has lost some momentum but remains solid, supported by a strong labor market. In fact, we raised our 2026 GDP growth forecast to 2.0% from 1.7%. Inflation readings have been subdued, benefiting from a stronger BRL, solid food production in the local market, and cheap industrialized goods imported from China. Accordingly, despite the stronger growth outlook, we reduced our 2026 IPCA forecast to 3.8% from 4.0%.

Fiscal policy remains along the same lines. Revenues are growing briskly, outpacing the upward trend in expenditure. This should allow the government to meet its fiscal targets with relative ease – although this is of limited relevance, as the debt-to-GDP ratio will remain on the rise. Quasi-fiscal expenditures are also increasing, as typically observed in an electoral year.

Thus, fiscal execution should not bring much market volatility this year.

For 2027, however, it is a different story. Fiscal reforms, particularly on the expenditure side, will be critical for Brazil's economic performance during the next presidential term (2027-2030). At present, we have little visibility regarding potential candidates, let alone whether the eventual winner will implement the necessary reforms.

Moreover, fiscal stimulus in 2026 may give rise to renewed inflationary pressures in 2027, once (and if) the positive supply-side effects on consumer prices fade. That could limit the room for the easing cycle that is about to begin.

We continue to see the central bank cutting the Selic rate by 50 bps in March and in the following meetings, until the policy rate reaches 12.50%. Beyond this level, we believe a clearer (and more positive) scenario for 2027 onwards is required.

Global backdrop – Another boost from weak USD

Caio Megale

Wrong call (so far). Last month, we pointed out that the global environment could become less favorable to EM asset prices than it was throughout 2025. So far, however, this has not materialized. Economic activity indicators remain solid (particularly in the US), and the dollar has taken another hit (around 2% YTD), boosting EM currencies and stock markets. Geopolitical tensions (Venezuela, Greenland, Iran) appear to be reinforcing a broader move away from the USD and toward other assets. We remain cautious about taking this positive scenario at face value.

Uncertainty persists. Fiscal deterioration in G3 economies should limit the scope for further monetary stimulus. We may even see rate hikes in Europe or Japan. More important than the short-term policy rates, long-term yields are likely to remain elevated, reflecting the substantial financial needs of major economies.

Limited room for interest rate cuts in the US. Recent activity and labor market data have surprised to the upside, while inflation remains stubbornly above the target. The Fed paused its easing cycle in January and will probably stay put in the coming months.

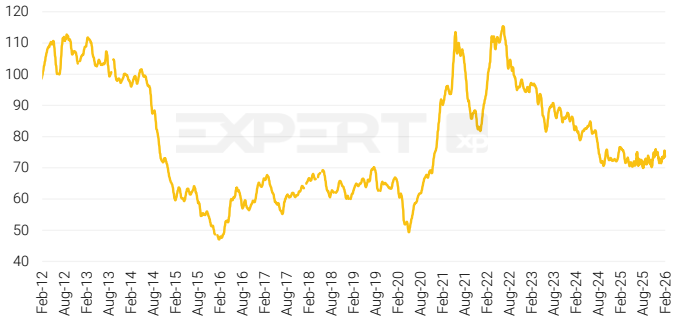
The new Fed chair is a relief. President Trump announced Kevin Warsh as the next Federal Reserve Chairman. Markets had feared the appointment of a less technical/more politically driven candidate, which could have jeopardized the Fed's role as a stabilizer and lender of last resort. With Warsh, it is less likely that the US dollar will continue to depreciate globally, boosting EM currencies.

China and commodity prices remain a risk. The Chinese economy continues to lose steam, mainly due to weak domestic consumption. Market pundits remain skeptical about the effectiveness of the government's stimulus measures. If the government fails to stabilize growth, it could negatively impact commodity prices, with negative spillovers for Brazil and other commodity exporters. Oil prices deserve particular attention amid ongoing geopolitical developments, although they recovered somewhat in January.

Dollar remains at a historically high level despite the sharp depreciation over the past 12 months
Nominal effective exchange rate, US. 2020 =100

Source: BIS

Brazil's main commodities prices have remained relatively stable since late 2024, despite ongoing political tensions
Price index of the main commodities exported* (USD). Jan/2012=100



Source: BBG, XP
* Soybeans, corn, oil and iron ore

BRAZIL – Stronger growth, lower inflation

Political environment – Legislative year begins with a focus on the elections

Paulo Gama and XP Politics

The resumption of activities in Brasília in February — marking the effective start of the political year — takes place amid rising electoral tension. Below, we outline the outlook and key discussions on the national stage that begin in February and are expected to extend throughout the year.

Congress

The government began the legislative year by seeking a renewed rapprochement with congressional leadership. Both Hugo Motta and Davi Alcolumbre are working toward returning to the presidencies of the House of Representatives and the Senate, respectively, in 2027. The Planalto Palace assesses that the overlap with the electoral calendar could give Lula an advantage.

Nonetheless, the two lawmakers are expected to continue sending non-linear signals regarding alignment with the government's agenda, given the right-wing majority in both legislative houses — suggesting continuity with the stance adopted during the first year of their terms.

On the priority agenda, the government is considering advancing discussions on the proposal to revise the 6x1 workweek during the first half of the year. At the same time, the opposition remains focused on creating points of friction for the Planalto Palace, mainly through the advancement of public security themes and the INSS Joint Parliamentary Inquiry (CPMI).

Government electoral strategy

As this is Lula's final election, the Workers' Party (PT) is expected to center its campaign on aspirational themes, seeking to reconnect with its social base and secure support for the party in the post-Lula era. Labor-related proposals and the reinforcement of the narrative around tax justice are expected to feature prominently among campaign promises in a potential re-election bid. The government also bets on the economy as a key variable among non-partisan voters, especially the impact of inflation on the cost of living. The commitment to centrist alignment, symbolized by the ticket with Geraldo Alckmin, is expected to be preserved.

Right-wing candidates

In the first round, four candidates currently position themselves in opposition to Lula: Senator Flávio Bolsonaro (PL), Governor Romeu Zema (Novo) — whose name is also mentioned as a potential vice-presidential candidate — Renan Santos (Missão), and the nominee to be launched by the PSD. While Gilberto Kassab's party is currently backing the pre-candidacy of Paraná Governor Ratinho Jr., a medium-term replacement by Goiás Governor Ronaldo Caiado cannot be ruled out. A final decision is likely to be postponed until closer to the formal nomination deadline.

As the political heir to his father's voter base, Senator Flávio Bolsonaro emerges as the leading figure within the right-wing bloc to potentially reach a second round against Lula. His challenge will be to reduce his rejection rate — the highest among the pre-candidates — while positioning himself as the most moderate member of the Bolsonaro family. To mitigate perceptions of a radical candidate, the plan is to announce the vice-presidential nominee, the government program, and the prospective finance minister as early as the first half of the year.

Instability

The coming months should also be marked by ongoing investigations that continue to generate apprehension in Brasília. These include developments related to the Master bank, the potential extension of the INSS CPMI, and inquiries into the allocation of pork-barrel expenditures. Beyond raising institutional tensions, the resurfacing of these issues on the eve of the electoral period is likely to be exploited during the race.

Activity – We raised our 2026 GDP growth from 1.7% to 2.0%

Rodolfo Margato

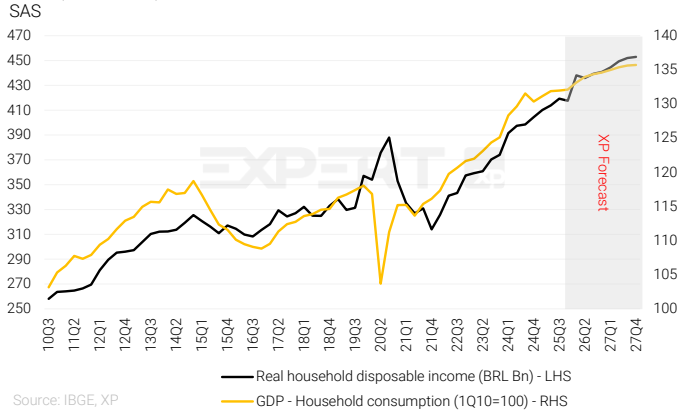
Flattish GDP in 2H25. Domestic activity has slowed down in recent months, reflecting restrictive monetary policy and high household and corporate indebtedness. We estimate GDP increased by only 0.1% QoQ in Q4, matching the pace recorded in Q3. If confirmed, GDP will have expanded by 2.3% in 2025, after four consecutive years of growth above 3.0%. Excluding the (significant) contribution from sectors less sensitive to economic cycle — especially agriculture and extractive industry — GDP would have risen by 1.4% in 2025, well below the 3.6% increase observed in 2024.

Nonetheless, domestic activity should accelerate in 2026 amid income and credit impulses. For several months, we have argued that GDP is likely to gain strength from early 2026 onward. First, real household disposable income will increase sharply this year, supported by a tight labor market, higher fiscal transfers, and the effects of the IRPF (Personal Income Tax) reform. For a detailed discussion, see our special report "Real household disposable income will increase by around 4.5% in 2026". In addition, we foresee a strong expansion in state-government spending, rising earmarked corporate credit — led by public banks — and an increase in payroll deductible loans for private-sector workers. In our view, these factors should more than offset the drag from still-contractionary interest rates.

We raised our 2026 GDP growth forecast from 1.7% to 2.0%. Beyond the factors listed above, our baseline scenario now incorporates the potential impact of government programs aimed at the construction (Novo Crédito Imobiliário and Reforma Casa Brasil) and heavy vehicles (Move Brasil) sectors, which increase credit availability under more favorable conditions. Finally, we believe that additional easing in financial conditions in recent weeks (FX, interest rates, equities) will also provide a positive contribution to near-term economic activity. Our updated scenario assumes a statistical carryover effect of 0.2 pp from 2025 GDP and average quarterly growth of 0.5% QoQ in 2026.

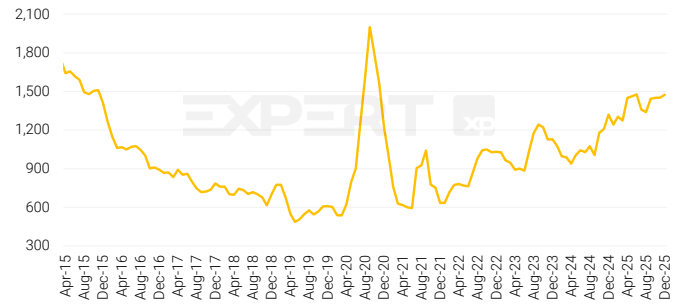
Below potential performance in 2027. Despite the monetary easing cycle expected this year and next, interest rates will remain at high levels (around 7.0% in real terms). Moreover, fiscal and quasi-fiscal impulses are likely to be smaller in 2027, in line with our scenario of (insufficient) public spending adjustment measures. In addition, uncertainties surrounding the fiscal consolidation agenda may weigh on domestic demand, particularly through private investment. All things considered, we forecast GDP will rise by 1.2% in 2027.

Household consumption is expected to gain steam in 1H26 amid a sharp rise in disposable income
SAS



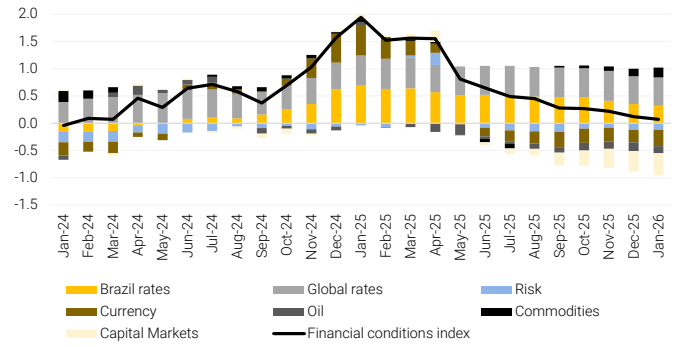
Source: IBGE, XP

Earmarked credit concessions for companies have picked up in recent months, mainly driven by public banks
Real daily average (BRL million). SAS. 3MMA.



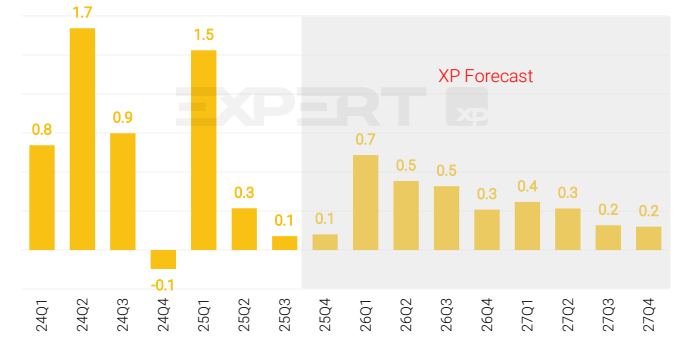
Source: BCB, XP

Easing of financial conditions in early 2026
Monthly average. The higher the value, the more restrictive the conditions*



* Central Bank o Brazil's methodology
Source: BCB, BBG, XP

We forecast GDP growth close to potential in 2026, followed by a slowdown in 2027
Total GDP. QoQ SAS (%)



Source: IBGE, XP

No spare capacity through mid-next year. The output gap — a measure of slack defined as the difference between actual and potential GDP — should remain positive through mid-2027, according to our estimates. This dynamic supports our view of underlying services inflation under pressure over the forecast horizon.

XP Forecast (%)

GDP Breakdown	2023	2024	2025 (F)	2026 (F)	2027 (F)
Agriculture & Livestock	16.3	-3.7	11.0	1.3	3.0
Industry	1.7	3.1	1.5	1.7	0.8
Services	2.8	3.8	1.8	2.1	1.3
Total GDP	**3.2**	**3.4**	**2.3**	**2.0**	**1.2**
Household Consumption	3.2	5.1	1.4	2.2	1.5
Government Consumption	3.8	2.0	1.7	1.6	1.1
Gross Fixed Capital Formation	-3.0	6.9	4.0	1.4	-0.2
Exports	8.9	2.8	4.7	3.0	2.5
Imports (-)	-1.2	15.6	5.0	2.8	1.6

Source: IBGE, XP

Public Finance – Short-term addressed, but recent trends raise concerns for 2027

Tiago Sbardelotto

The government met its 2025 fiscal target, but the result was worse than in the previous year. The central government accumulated a deficit of BRL 61.7 billion (0.5% of GDP) in 2025, worse than in 2024 (BRL 42.9 billion, or 0.4% of GDP). Once again, the primary balance target was met due to the exclusion of certain expenditures from the spending limit, totaling BRL 48.7 billion. As a result, the actual primary deficit stood at BRL 13.0 billion (0.1% of GDP), above the lower bound of the target range (BRL 31.0 billion deficit).

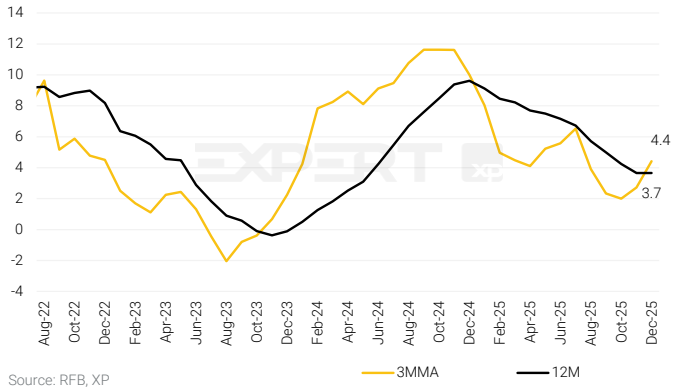
The 2026 target should also be met. We expect tax revenues to remain solid, supported by stronger economic activity in the first half of the year (see the 'Activity' section) and the congressional approval of revenue-raising measures late last year. Our projection points to a total deficit of BRL 48.9 billion (0.4% of GDP), narrower than in 2025. Excluding off-target expenditures, we project a surplus of BRL 1.5 billion (0.0% of GDP), close to the lower bound of the target range (zero).

The spending cap should not be a binding constraint this year. We assess that expenditures on social security benefits and BPC/LOAS are underestimated by BRL 19 billion in the budget law. On the other hand, personnel expenditure appears to be overestimated. **Overall, we see the need for a spending block of only BRL 5 billion — well below levels observed in previous years.**

Social security benefits and BPC spending remain key sources of uncertainty. The backlog of benefit applications reached a record high of nearly 3 million cases (Nov/25 data). We expect a gradual reduction over 2026 and 2027, with a cumulative impact of BRL 26 billion. However, recent trends indicate irregularities in the speed at which these applications are processed, suggesting that additional pressures could emerge and require further spending blocks.

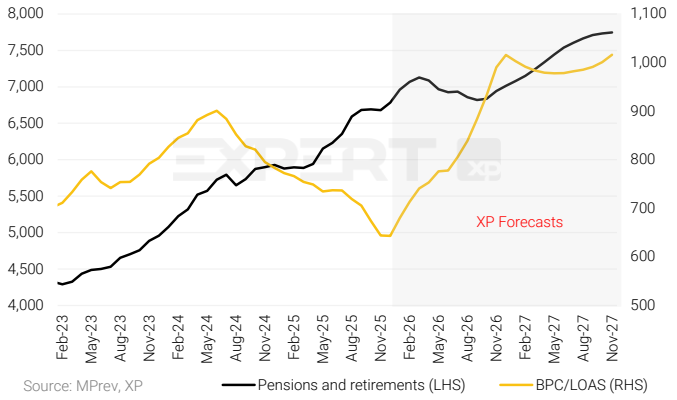
Broader exclusions make it easier to meet the 2027 target. Last year, Congress approved further exceptions to the primary balance target calculation, widening the gap between the observed result and the existing target. We estimate a **primary deficit of BRL 76.6 billion (0.5% of GDP), which translates into a surplus of BRL 39.9 billion after accounting for off-target expenditures.** This figure is slightly above the lower bound of the target range for 2027.

Tax revenue shows resilience despite the economic slowdown
YoY (%)



Source: RFB, XP

Social benefit expenditures should increase as the backlog of applications declines
Benefits granted, 12M (thousands)



Source: MPrev, XP

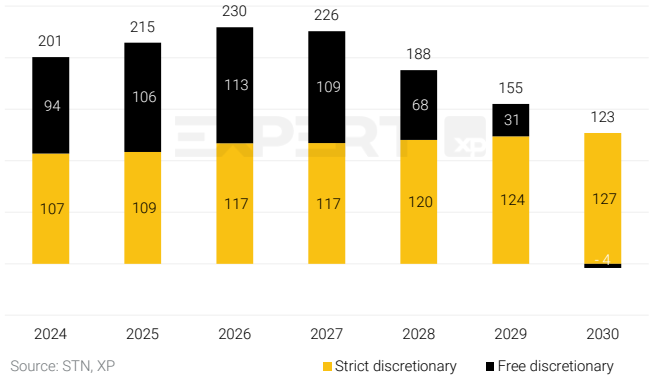
Discretionary spending space narrows in 2027 but remains high. We now see slightly less restriction next year due to revisions in inflation projections. Our assessment points to BRL 109 billion in available discretionary expenditures — slightly below the level expected for 2026.

Regional governments and SOEs should post weaker results in 2026. Regional governments performed well in 2025, driven by a significant improvement in municipalities' figures. Nonetheless, we should see deterioration this year as state expenditures accelerate ahead of the electoral cycle. Similarly, the deficit of state-owned enterprises (SOEs) improved modestly last year due to one-off factors, but we anticipate a sharp worsening as *Correios* settles overdue liabilities. **As a result, we expect the consolidated public sector (encompassing the federal government, regional governments, and SOEs) to post deficits of BRL 56.8 billion (0.4% of GDP) in 2026 and BRL 62.8 billion (0.4% of GDP) in 2027.**

Public debt-to-GDP ratio to keep rising. The General Government Gross Debt (GGGD) ended 2025 at 78.7% of GDP, 240 bps higher than in 2024. Considering the lack of meaningful improvement in the primary balance, weaker economic activity, and interest rates at double digits, we see debt rising at a faster pace in the coming years, reaching 83.5% and 88.0% of GDP by YE2026 and YE2027, respectively. Public Sector Net Debt (NPSD) is projected to reach 69.8% of GDP this year and 74.0% in 2027.

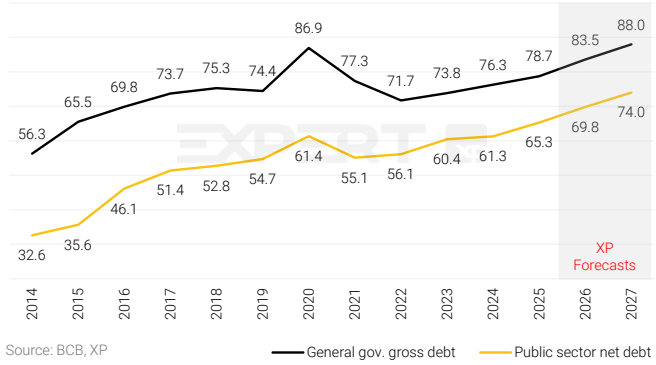
Fiscal risk remains and will eventually take center stage again. Since mid-last year, we have seen few changes to the fiscal scenario. Although the government met formal targets, there has been no relevant structural improvement in public accounts dynamics. Public debt should remain on the rise amid higher interest rates and in the absence of fiscal policy consolidation - which, on the contrary, should get (even) more expansionary ahead of elections, limiting the room for monetary easing. Given such unsustainable dynamics, we see latent fiscal risks materializing and generating renewed noise at any time.

Government has room to keep discretionary expenditures at comfortable levels in 2026 and 2027
Discretionary expenditures within the spending limit at Dec/2026 prices (BRL Bn)



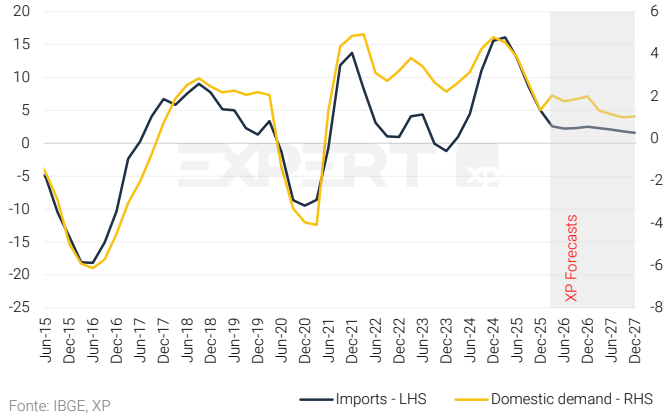
Source: STN, XP

Meeting fiscal targets should not be enough to stabilize the debt-to-GDP ratio
(% of GDP)



Source: BCB, XP

Reacceleration in domestic demand should keep imports at high levels this year
12M (%)



Fonte: IBGE, XP

External Accounts – Current account deficit to remain elevated in 2026

Luíza Pinese

The current account stabilized last year. The cumulative deficit reached USD 68.8 billion in 2025 (-3.0% of GDP), roughly unchanged from 2024. Robust import growth reduced the trade surplus, which was offset by lower services expenditures. The primary income balance remained stable.

Stronger economic activity to weigh on the trade balance in 2026. The reacceleration of domestic activity (see the "Activity" section) is likely to spur demand for imported goods and

services and increase pressures on the primary income account. **As a result, we adjusted our trade balance forecast to USD 64.9 billion from USD 66.7 billion (MDIC methodology), and our current account deficit to USD 76.0 billion (3.0% of GDP) from USD 73.3 billion (3.0% of GDP).**

Exports provide some upside risk. On the positive side, exports have been growing briskly and represent an upside risk for the trade balance this year.

In 2027, softer activity should help ease external imbalances. A restrictive fiscal and monetary policy mix should curb import volumes and limit profit and dividend remittances to non-residents. We also anticipate lower interest payments in the primary income account, consistent with a less restrictive monetary stance in the US. Exports should remain supported by a strong grain harvest and global growth close to 3%. **Taken together, we expect the current account deficit to narrow to USD 60.2 billion (2.4% of GDP) in 2027.**

Still robust Foreign Direct Investment (FDI) inflows ahead. Net FDI inflows totaled USD 77.7 billion in 2025, slightly above the USD 74.1 billion recorded in 2024 (both equivalent to 3.4% of GDP). Annual data point to increased investment in metallic mineral extraction, pulp and paper, transportation, and storage. Looking ahead, we expect critical minerals and data centers to remain key destinations for new investment. **We project net FDI inflows of USD 75.0 billion in 2026 (3.0% of GDP) and USD 79.0 billion in 2027 (3.1% of GDP), providing moderate support to external accounts.**

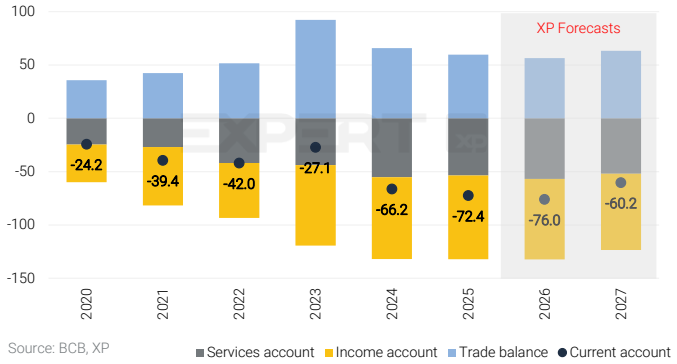
Global factors drive exchange rate dynamics at the start of the year

Stronger BRL at the beginning of the year. The US dollar depreciated in early 2026 amid political and geopolitical uncertainty surrounding the Trump administration. Against this backdrop, the BRL appreciated nearly 4% YTD, approaching 5.20 reais per dollar.

Despite this short-term appreciation, we kept our year-end forecast at 5.60 reais per dollar. First, we see limited scope for further US dollar depreciation, particularly following the nomination of Kevin Warsh as Fed Chair. Second, domestic political uncertainty ahead of the presidential elections is likely to keep risk premia on Brazilian assets elevated. That said, given the stronger starting point, we adjusted our forecast for the average exchange rate this year to 5.40 reais per dollar, from 5.50 previously.

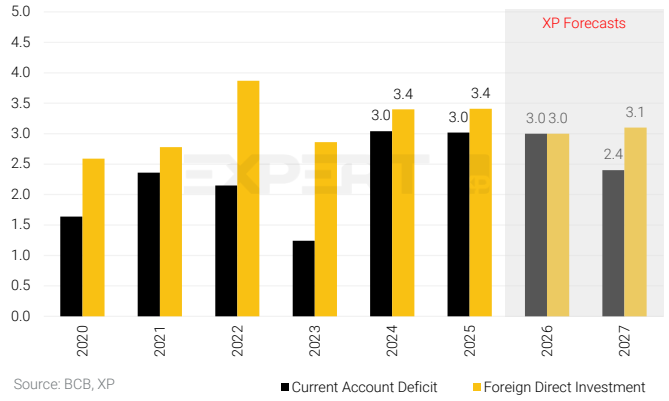
For YE2027, we kept our projection of 5.80 reais per dollar. Our baseline scenario assumes insufficient fiscal adjustment after the elections, which should keep the BRL pressured.

Softer growth should contribute to reduce current account deficit in 2027
USD Bn



Source: BCB, XP

FDI to finance current account deficit in the coming years
(% of GDP)



Source: BCB, XP

XP - Balance of Payments Forecasts — USD Bn

	2023	2024	2025	2026 (P)	2027 (P)
Current account	**-27.1**	**-66.2**	**-68.8**	**-76.0**	**-60.2**
Trade Balance	**92.3**	**65.8**	**60.0**	**56.4**	**63.3**
Exports	343.8	339.9	350.9	354.1	364.3
Imports	251.5	274.0	290.9	297.7	301.0
Services	**-43.8**	**-55.2**	**-52.9**	**-56.9**	**-52.0**
Transportation	-12.7	-15.1	-14.3	-13.0	-12.0
Intellectual property	-5.5	-8.7	-11.2	-13.0	-14.5
Equipment rental	-9.7	-11.2	-11.9	-12.9	-10.5
Cultural services	-4.1	-4.8	0.2	0.4	0.0
Others	-11.8	-15.5	-15.7	-18.4	-15.0
Income	**-75.6**	**-76.8**	**-75.8**	**-75.5**	**-71.5**
Primary Income	-79.5	-81.3	-81.3	-80.0	-76.0
Profits and Dividends	-50.0	-50.6	-53.6	-52.4	-47.0
Interest	-29.7	-31.2	-28.1	-28.0	-26.0
Others	0.3	0.5	0.4	0.4	0.4
Secondary Income	3.9	4.5	5.5	4.5	4.5
FDI	**62.8**	**74.1**	**77.7**	**75.0**	**79.0**
Equity Capital	52.8	64.6	62.4	66.0	70.0
Intercompany transactions	9.9	9.5	15.3	9.0	9.0

Source: BCB, XP

Inflation – We reduced our 2026 IPCA forecast from 4.0% to 3.8%

Alexandre Maluf

Current inflation remains benign. Recent IPCA readings continue to show low inflation in food, administered, and industrial goods; partially offset by high services inflation amid a tight labor market. This dynamic has brought the YoY IPCA back into the tolerance range around the 3.0% target. We believe this trend will continue in the coming months.

Lower industrial goods inflation. Stronger BRL in the short term (see 'External Accounts' section) helps keep industrial goods inflation subdued. Furthermore, the producer price index (measured by IPA-FGV) remains well behaved, with benign effects on consumer prices ahead. Finally, we have reduced our ethanol price assumption, starting in May. Despite the recent hike, the futures curve points to a return to mid-2025 levels, reflecting a strong increase in corn ethanol supply and greater incentives for mills to allocate output to fuel production. Given these fundamentals, we lowered our industrial goods inflation forecast from 2.2% to 1.8%.

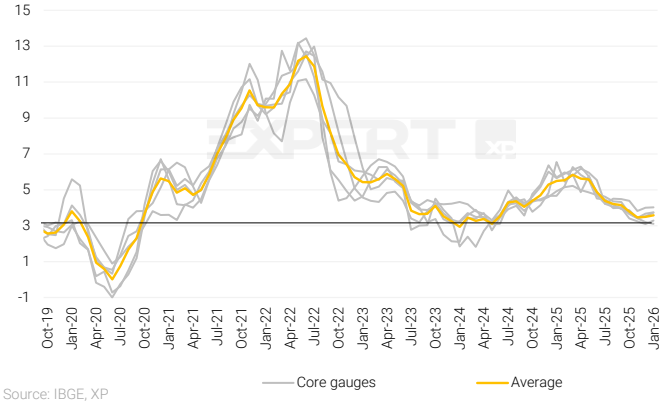
Food inflation remains moderate. A more appreciated BRL and the consolidation of robust harvests support a scenario of abundant food supply. Recent highlights include significant drops in wholesale prices for dairy and poultry in Brazil, while sugar and cocoa prices follow a bearish trend in the international market. **Thus, we shaved our food inflation projection from 4.5% to 3.9%.** Risks remain, however. First, live cattle prices have risen significantly in the domestic market, both in spot and futures contracts. Second, the risk of an El Niño event in June has increased, which could jeopardize food production in the second half of the year.

Lower gasoline prices. In late January, Petrobras announced a 5.2% cut in domestic gasoline prices. As we had already assumed a price adjustment in September, this announcement did not change our annual projection. Looking ahead, we do not forecast additional gasoline cuts. There is some upward pressure coming from diesel prices, but this has no significant direct impact on IPCA.

Regarding electricity tariffs, risks are balanced. On the downside, Aneel is discussing measures to mitigate rate hikes in the North and Northeast using hydroelectric resources. On the upside, there is an increase in charges related to the reimbursement of power generators.

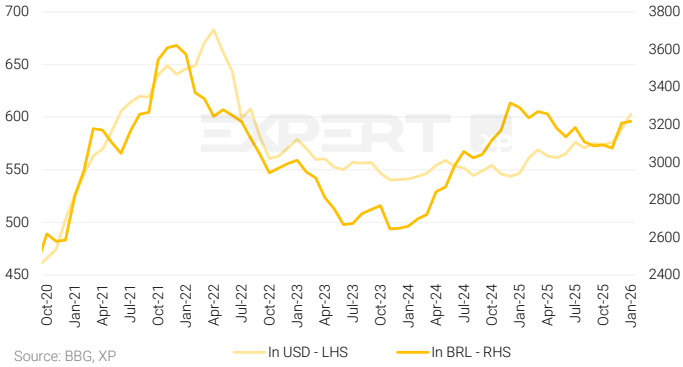
Services remain the main risk for disinflation. The upward revision of our 2026 GDP growth from 1.7% to 2.0% (see the 'Economic Activity' section), would, all else equal, add around 0.15 p.p. to our IPCA projection, especially in the services group. However, this effect is offset by other factors, such as lower inflation in food away from home and airfares. Thus, we kept our services inflation forecast at 5.3%.

Core inflation gauges have stabilized above the target
IPCA-15, 3M SAAR (%)



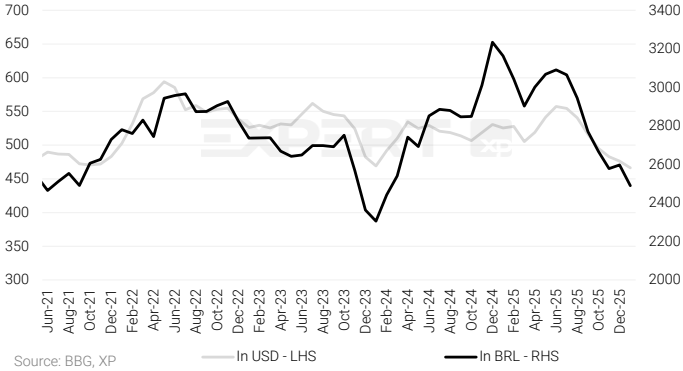
Source: IBGE, XP

Global industrial costs have risen, but BRL appreciation should mitigate the pass-through to CPI
CRB Raw Industrials Index



Source: BBG, XP

Declining commodity prices suggest moderate 'food at home' inflation in 2026
CRB Foodstuffs Index

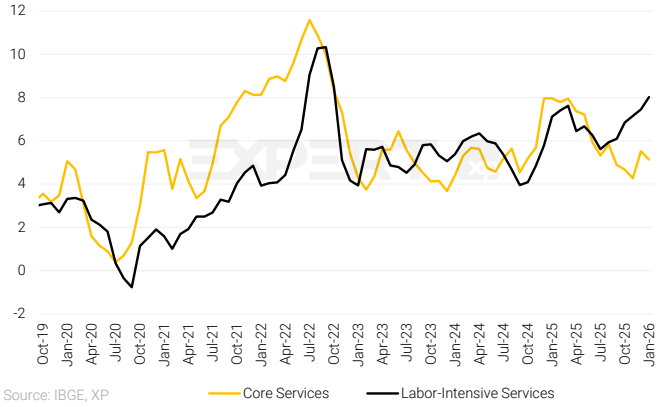


Source: BBG, XP

Taking all elements into account, we have reduced our 2026 IPCA projection from 4.0% to 3.8%.

For 2027, we maintained our IPCA projection at 4.0%. This figure reflects the assumption of a still-challenging fiscal backdrop, with incomplete expenditure containment measures, which would prevent further anchoring of inflation expectations. In the same vein, we foresee currency depreciation compared to 2026 and a partial normalization of food prices toward historical averages. On the downside, we consider a slowdown in economic activity, which should contribute to moderation, particularly in services inflation.

High services inflation may jeopardize further decline in the headline CPI
3M SAAR (%)



Source: IBGE, XP

Monetary Policy – We continue to forecast a 50-bp rate cut in March. The size of the easing cycle depends on fiscal reforms after the elections

Caio Megale

The Brazilian economy seems to be moving to a better growth/inflation trade-off curve in 2026. Indeed, we lifted our GDP forecast and reduced our IPCA projection for this year (see sections above). This happens when the economy is under a positive supply shock. Domestic food production has increased substantially, while the supply of industrialized goods from China remains elevated. In addition, a stronger BRL (driven by a globally weaker USD) has played a key role in this adjustment.

IPCA Groups — 12M (%)

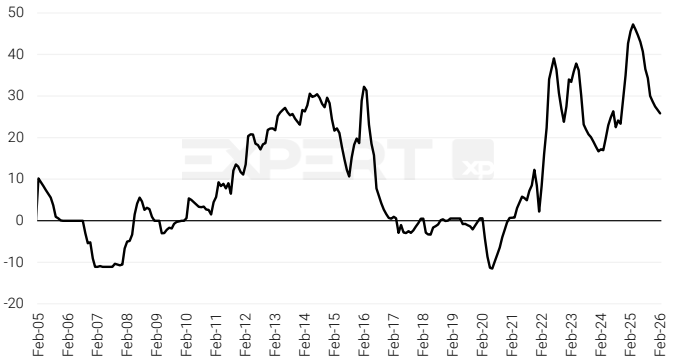
	2024	2025	2026 (F)	2027 (F)
Monitored prices	4.7	5.3	3.5	4.0
Market-set prices	4.9	3.9	3.9	4.0
Food at home	8.2	1.4	3.9	5.1
Industrials	2.9	2.4	1.8	2.5
Services	4.8	6.0	5.3	4.6
IPCA headline	**4.8**	**4.3**	**3.8**	**4.0**

Source: IBGE, XP

This situation allows the Central Bank to start an easing cycle even with the economy still heated. The Copom meeting's statement clearly signaled an intention to cut rates in March, "in a context of more evident lower inflation and monetary policy transmission."

We continue to see the Copom starting an easing cycle in March, and a pause to evaluate in the second half of the year. Our baseline scenario assumes five consecutive 50-bp cuts until the Selic rate reaches 12.50%. In real terms, this would place the policy rate at around 8.0% - still above what we consider the neutral level – reflecting the fiscal challenges anticipated for the next presidential term.

Medium-term inflation expectations have eased, but remain well above the target
IPCA forecast (Focus survey) 1Y / 1Y forward (% of the target)



Source: BCB, XP

In 2027, the growth/inflation trade-off may deteriorate again. Climatic and other cyclical factors that boosted food supply are unlikely to repeat, while the BRL – and other Brazilian assets – tend to face pressure during elections. Thus, if the economy responds to electoral stimulus (as we believe it will), the inflation outlook for 2027 would worsen.

Fiscal sustainability represents an additional headwind for the 2027 balance of risks. As discussed in the previous sections,

our baseline scenario assumes that the next government will implement some expenditure-side measures, but not at a scale sufficient to stabilize the debt-to-GDP ratio. Under this scenario, we see scope for the central bank to resume its easing cycle next year, albeit with limited room.

To sum up, we see the Selic rate at 12.50% in YE2026 and 11.00% in YE2027.

Alternative scenarios will depend on fiscal policy after 2027. If even the "insufficient adjustments" embedded in our baseline scenario fail to materialize, the Central Bank is unlikely to find room for further rate cuts next year. Conversely, a more comprehensive fiscal adjustment could allow the Selic rate to get back to its neutral level – which we estimate at around 5.5% in real terms.

XP Forecasts

	2020	2021	2022	2023	2024	2025 (F) Prior	2025 (F) Current		2026 (F) Prior	2026 (F) Current		2027 (F) Prior	2027 (F) Current	
Economic Activity														
Nominal GDP (USD Bn)	1,475	1,670	1,951	2,190	2,178	2,278	2,278	▬	2,434	2,506	▲	2,463	2,512	▲
Nominal GDP (BRL Bn)	7,610	9,012	10,080	10,943	11,745	12,710	12,710	▬	13,509	13,535	▲	14,287	14,314	▲
GDP growth (%)	-3.3	4.8	3.0	3.2	3.4	2.3	2.3	▬	1.7	2.0	▲	1.2	1.2	▬
Unemployment rate (% s.a., end of period)	14.7	11.7	8.3	7.6	6.5	5.3	5.3	▬	5.6	5.6	▬	6.2	6.2	▬
Inflation														
IPCA (CPI, %)	4.5	10.1	5.8	4.6	4.8	4.3	4.3	▬	4.0	3.8	▼	4.0	4.0	▬
Monetary Policy														
SELIC rate (% p.a., end of period)	2.00	9.25	13.75	11.75	12.3	15.0	15.0	▬	12.50	12.50	▬	11.00	11.00	▬
Public Finances														
Central government primary balance (% GDP)	-9.8	-0.4	0.5	-2.4	-0.4	-0.5	-0.5	▬	-0.3	-0.4	▼	-0.3	-0.5	▼
Primary balance for target calculation (% GDP)*	--	--	--	--	-0.1	-0.1	-0.1	▬	0.0	0.0	▬	0.5	0.3	▼
Public sector primary balance (% GDP)	-9.2	0.7	1.2	-2.3	-0.4	-0.4	-0.4	▬	-0.4	-0.4	▬	-0.2	-0.4	▼
Public sector overall balance (% GDP)	-13.6	-4.3	-4.6	-8.8	-8.5	-8.3	-8.3	▬	-8.4	-8.6	▼	-8.2	-8.1	▲
General government gross debt (% GDP)	86.9	77.3	71.7	73.8	76.5	78.7	78.7	▬	83.7	83.5	▼	88.3	87.9	▼
Net public sector debt (% GDP)	61.4	55.1	56.1	60.4	61.5	65.3	65.3	▬	70.1	69.8	▼	74.2	74.0	▼
External Accounts and FX														
FX (USDBRL, end of period)	5.20	5.58	5.28	4.86	6.17	5.49	5.49	▬	5.60	5.60	▬	5.80	5.80	▬
Trade Balance (USD Bn)	35.7	42.3	51.5	92.3	65.8	60.0	60.0	▬	58.2	56.4	▼	63.3	63.3	▬
Exports (USD Bn)	210.7	284.0	340.2	343.8	339.9	350.9	350.9	▬	354.1	354.1	▬	364.3	364.3	▬
Imports (USD Bn)	175.0	241.7	288.7	251.5	274.0	290.9	290.9	▬	295.9	297.7	▲	301.0	301.0	▬
Current Account (USD Bn)	-24.9	-40.4	-42.2	-27.9	-61.2	-68.8	-68.8	▬	-73.3	-76.0	▼	-60.2	-60.2	▬
Current Account (% GDP)	-1.7	-2.4	-2.2	-1.3	-2.8	-3.0	-3.0	▬	-3.0	-3.0	▼	-2.4	-2.4	▲
FDI (USD Bn)	38.3	46.4	74.6	62.4	71.1	77.7	77.7	▬	75.0	75.0	▬	79.0	79.0	▬
FDI (% GDP)	2.6	2.8	3.8	2.9	3.2	3.4	3.4	▬	3.1	3.0	▼	3.2	3.1	▼

* Excludes part of court-ordered payments and other expenditures

Source: IBGE, BCB, BBG, XP

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